

Undertaking to the Australian Competition and Consumer Commission

Given under section 87B of the *Competition and Consumer Act 2010* (Cth) by Australian Amalgamated Terminals Pty Ltd ACN 098 458 229

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Undertaking to the Australian Competition and Consumer Commission

1. Person giving the Undertaking

This Undertaking is given to the Australian Competition and Consumer Commission (ACCC) by Australian Amalgamated Terminals Pty Ltd ACN 098 458 229 (AAT) for the purposes of section 87B of the *Competition and Consumer Act 2010* (Cth) (the Act).

2. Background

The parties to the proposed acquisition

- 2.1 Fremantle Port Authority (ABN 78 187 229 472) (**Fremantle Ports**) is a state owned enterprise established under Part 2 of the *Port Authorities Act 1999* (WA) to manage the Port of Fremantle (**Port**).
- 2.2 AAT is an incorporated joint venture between P&O Wharf Management Pty Limited, a wholly-owned subsidiary of Qube Holdings Ltd and Plzen Pty Limited, a wholly-owned subsidiary of Asciano Ltd.
- 2.3 Entities associated with each of AAT's two shareholders have stevedoring operations at various Australian ports. In particular:
 - (a) Patrick Stevedoring Pty Ltd, another wholly owned subsidiary of Asciano Ltd, is a leading provider of stevedoring services; and
 - (b) Qube Ports & Bulk, operated by Qube Holdings Ltd, is also a leading provider of stevedoring services.
- 2.4 Entities associated with each of AAT's two shareholders have automotive vehicle pre-delivery inspection (**PDI**) operations at various Australian ports. In particular:
 - (a) Asciano Ltd has an 80% interest in Patrick Autocare Pty Limited; and
 - (b) Qube Holdings Ltd has an indirect 25% shareholding in Prixcar Services Pty Limited.
- 2.5 AAT currently operates automotive terminals at Webb Dock West and Appleton Dock in Victoria, Port Kembla in New South Wales, Fisherman Islands in Queensland, and Port Adelaide in South Australia.

AAT's proposed transaction

- 2.6 Fremantle Ports is conducting a competitive tender for the right to develop and operate a new automotive and Ro-Ro terminal at Victoria Quay within the Port of Fremantle (**Terminal**).
- 2.7 The Terminal will be a purpose built facility that will replace the current automotive and Ro-Ro trade at various sites at Inner Harbour in Victoria Quay. The successful proponent will enter into a lease with Fremantle Ports of up to 10 hectares of land located on Victoria Quay for these purposes, for an indicated term of approximately 20 years (**Terminal Lease**).

- 2.8 Fremantle Ports has invited AAT to submit a proposal and AAT intends to submit a proposal to Fremantle Ports. If successful, AAT will obtain the rights to develop and operate the Terminal in accordance with the Terminal Lease (**Proposed Transaction**).
- 2.9 If its proposal is successful, AAT intends to operate the Terminal on a multi-user, open-access basis, which includes, pursuant to the terms of a proposed terminal licence (**Terminal Licence**):
- (a) a mechanism for stevedores, PDI operators and others to access the Terminal;
 - (b) a process for independent review of the Terminal operator's increases to charges to users of the Terminal; and
 - (c) a dispute resolution process for price and non-price disputes.

The ACCC's review

- 2.10 The ACCC commenced its review of the Proposed Transaction on 23 December 2014. The ACCC conducted market inquiries and considered information provided by AAT and interested parties. The purpose of the ACCC's inquiries was to assess whether or not the Proposed Transaction would have the effect, or be likely to have the effect of substantially lessening competition in any market in contravention of section 50 of the Act.
- 2.11 AAT offered the ACCC a court enforceable undertaking pursuant to section 87B of the Act to address the ACCC's competition concerns resulting from the Proposed Transaction. The ACCC also sought feedback from interested parties on the draft undertaking.

The ACCC's competition concerns

- 2.12 Through market inquiries conducted by the ACCC, market participants expressed concerns in relation to AAT's status as a vertically integrated operator of the sole automotive terminal at the Port of Fremantle, having regard to AAT's two shareholders having interests in automotive stevedoring and PDI operations at the Port. In particular, Patrick Stevedoring Pty Ltd and Qube Ports & Bulk are the current suppliers of automotive stevedoring services at the Port. Patrick Autocare Pty Limited and Prixcar Services Pty Limited are the current suppliers of PDI services at the Port.
- 2.13 The key concerns identified were that if the Proposed Transaction proceeds:
- (a) AAT would have the ability and incentive to foreclose the entry and expansion of third party stevedores or PDI operators which compete with entities associated with AAT's two shareholders by setting high prices for Access Services for those third party Terminal Users;
 - (b) AAT could frustrate or restrict access to the Terminal by third party stevedores or PDI operators which compete with entities associated with each of AAT's two shareholders through non-price terms of supply;
 - (c) AAT as operator of the Terminal would gain access to commercially sensitive information of Terminal Users, shipping lines and car manufacturers and AAT may use or disclose such commercially sensitive information in order to benefit the downstream entities associated with its shareholders;
 - (d) the proposed open access regime contained in the Terminal Licence is unlikely to be effective in addressing competition concerns because it is not subject to independent oversight and enforcement, and as a private agreement could be changed in the future; and
 - (e) there should be price and non-price dispute resolution processes which should be available to any person.

- 2.14 The ACCC concluded that, in the absence of this Undertaking, AAT would have an increased ability and incentive to discriminate against actual or potential rival automotive stevedores or PDI operators, and provide preferential treatment to entities associated with its shareholders, in the market for the supply of automotive terminal services in the Fremantle region.
- 2.15 The ACCC also concluded that the open access regime proposed by AAT in this Undertaking, which includes independent price oversight mechanisms, non-discrimination obligations and confidentiality safeguards, should be capable of independent oversight and enforcement to ensure that AAT treats all Terminal Users on a non-discriminatory basis and that the confidential information of Terminal Users is protected.
- 2.16 Given the undertaking is expected to be in place for the duration of the Terminal Lease (anticipated to be 20 years from the commencement of the Terminal Lease) unless terminated, the ACCC was concerned to ensure that this Undertaking continues to meet its objectives throughout its entire term.
- 2.17 AAT does not agree that the concerns described above, are likely to arise from the Proposed Transaction and does not agree that the Proposed Transaction will have the effect, or likely effect, of substantially lessening competition in a market, pursuant to section 50 of the Act. For the avoidance of doubt, AAT gives this Undertaking to the ACCC in order to address potential competition concerns that may arise in the event that the Proposed Transaction proceeds.

The Undertaking remedy

- 2.18 The objective of this Undertaking is to address the ACCC's concerns set out in paragraphs 2.13 to 2.16. This undertaking aims to achieve this objective by requiring AAT to:
- (a) comply with the Open Access Conditions which prevent AAT from discriminating between Terminal Users, or engaging in conduct for the purposes of preventing or hindering Access Services to Terminal Users;
 - (b) ring fence confidential information of Terminal Users, and maintain controls to ensure that confidential information is not disclosed to unauthorised personnel, which includes Shareholder Related Entities of AAT;
 - (c) comply with the Price Dispute Resolution Process, which includes the appointment of an ACCC approved Independent Price Expert, and the Non-Price Dispute Resolution Process;
 - (d) provide for the effective oversight of AAT's compliance with this Undertaking, including an obligation which requires AAT to provide for a compliance audit by an ACCC Approved Independent Auditor at the request of a Terminal User at any time; and
 - (e) provide for regular reviews of this Undertaking to ensure that the Undertaking continues to meet the objectives as described in this clause 2.

3. Commencement of this Undertaking

- 3.1 This Undertaking comes into effect when:
- (a) this Undertaking is executed by AAT;
 - (b) this Undertaking so executed is accepted by the ACCC; and

- (c) a licence to operate the Terminal is granted by the Port Manager to AAT and commences operation according to its terms,

(and the date on which the last of these events occurs is the **Commencement Date**).

- 3.2 AAT must notify the ACCC in writing of the occurrence of the Commencement Date within one Business Day of that date.

4. Cessation of this Undertaking

Expiry

- 4.1 This Undertaking expires on the date that AAT ceases to operate the Terminal and the ACCC confirms this in writing.

Withdrawal

- 4.2 Notwithstanding clause 4.1, this Undertaking is taken to be withdrawn on the date the ACCC consents in writing to the withdrawal of this Undertaking in accordance with section 87B of the Act.

Revocation

- 4.3 The ACCC may, at any time, revoke its acceptance of this Undertaking if the ACCC becomes aware that any information provided to it was incorrect, inaccurate or misleading.

Waiver

- 4.4 The ACCC may, at any time, expressly waive in writing any of the obligations contained in this Undertaking or amend the date by which any such obligation is to be satisfied.

Completion

- 4.5 Clauses 1, 2, 3, 4, 8, 9, 12, 13, 14, 15, 16, 17, 18, 19, 20, 21 and 22 survive completion of the obligations in clauses 5, 6, 7, 10 and 11 and Schedules 1, 2, 3 4 and 5.

5. Open Access Conditions

- 5.1 AAT must comply with the Open Access Conditions set out in Schedule 1.
- 5.2 In complying with this clause 5 and without limiting the generality of the obligations therein in relation to all Access Services, AAT must not:
 - (a) offer a longer period of free landside storage at the Terminal for cargo handled by stevedores or PDI operators which are Shareholder Related Entities than for Comparable Cargo handled by other stevedores or PDI operators;
 - (b) offer to waive storage fees for cargo handled by stevedores or PDI operators which are Shareholder Related Entities to a greater extent than, or in different circumstances to, offers made to waive storage fees for Comparable Cargo handled by other stevedores or PDI operators;
 - (c) offer more favourable storage terms at the Terminal for cargo handled by stevedores or PDI operators which are Shareholder Related Entities than for Comparable Cargo handled by other stevedores or PDI operators;

- (d) discriminate between Licensees when they are providing services to stevedores or PDI operators which are Shareholder Related Entities, and when they are providing services to other stevedores or PDI operators in relation to:
 - (i) rules about receipt and delivery of Comparable Cargo; and
 - (ii) the allocation of equipment for Comparable Cargo;
- (e) discriminate in the allocation of yard space at the Terminal such that cargo handled by stevedores or PDI operators which are Shareholder Related Entities is provided with more favourable laydown areas compared with Comparable Cargo handled by other stevedores or PDI operators; or
- (f) offer export customers of stevedores or PDI operators which are Shareholder Related Entities superior receipt services (including laydown/free time) than those offered to customers of other stevedores or PDI operators for comparable services.

6. Confidentiality and ring-fencing

Access to and use of ring-fenced Confidential Information

- 6.1 AAT must not require a Terminal User to provide any Confidential Information to AAT unless provision of that Confidential Information is:
 - (a) reasonably necessary for the proper operation of the Terminal;
 - (b) required by law or government authority; or
 - (c) consented to by the Terminal User.
- 6.2 For the avoidance of doubt, AAT must not require a Terminal User to provide any Confidential Information to AAT about freight rates, terms and conditions agreed with a customer, the terms or duration or renewal of any freight contract, or any customer specific forecast of freight volumes.
- 6.3 AAT must keep confidential any Confidential Information provided to AAT by a Terminal User and only allow AAT's Personnel to access that Confidential Information.
- 6.4 AAT must only use Confidential Information provided by a Terminal User for the purpose of:
 - (a) providing Terminal Services to that Terminal User;
 - (b) resolving a Terminal Dispute;
 - (c) as otherwise expressly consented in writing by that Terminal User.
- 6.5 From the Commencement Date, AAT must appoint an AAT Compliance Officer who is responsible on a day to day basis for monitoring AAT's compliance with this clause 6.
- 6.6 AAT must implement a compliance education program for employees, which:
 - (a) provides training and information on AAT's obligations under this clause 6;
 - (b) is given once every 2 years to employees; and
 - (c) forms part of the induction of new employees within 30 days of the commencement of their employment.

- 6.7 AAT must establish and maintain effective I.T. systems and security measures to safeguard the Confidential Information of Terminal Users from unauthorised access, use, copying or disclosure. These measures will include:
- (a) providing individual usernames, passwords and access keys to any AAT Personnel who have access to the Confidential Information of Terminal Users; and
 - (b) recording a log of AAT Personnel who access Confidential Information of Terminal Users stored in AAT's I.T. system and retaining that log for inspection by the Approved Independent Auditor if required.

Limited Disclosure

- 6.8 AAT may disclose Confidential Information of a Terminal User:
- (a) which comprises the Vessel Details, including publication on its website from time to time;
 - (b) to a Related Body Corporate of AAT which is an Approved Terminal Operator:
 - (i) only to the extent necessary for that Approved Terminal Operator to provide services to the Terminal User at the Qualified Terminal operated by the Approved Terminal Operator;
 - (ii) on the condition that the Approved Terminal Operator will treat that Confidential Information as if it was "confidential information" provided by a Terminal User under a section 87B undertaking given by the Approved Terminal Operator and accepted by the ACCC;
 - (c) to the extent necessary for the provision of advice from legal advisers, financiers, accountants or other consultants or professional advisers, or notifications required to brokers, insurers, claims assessors, provided that:
 - (i) the disclosure is first approved by the AAT Compliance Officer who must have regard to the objectives of this Undertaking in making a decision on whether to grant such approval; and
 - (ii) the person to whom the disclosure is made is under a legal obligation to keep the information confidential;
 - (d) to any mediator, expert or arbitrator to the extent necessary for the purpose of resolving a Terminal Dispute, provided that AAT does not disclose the Confidential Information of one Terminal User to another Terminal User without the first Terminal User's consent;
 - (e) to the ACCC or other government agency to the extent necessary to comply with any written request by that agency;
 - (f) to the Port Manager where AAT is under a legal obligation to do so;
 - (g) where required by law, provided that, where permissible, AAT first endeavours to consult with the Terminal User that provided the Confidential Information; and
 - (h) to the extent the disclosure is reasonably required to protect the safety or security of persons or property or in connection with an emergency.
- 6.9 AAT must retain records of any Confidential Information of a Terminal User disclosed in accordance with clauses 6.8(b) to 6.8(h) for a period of not less than five years from the date the Confidential Information is disclosed.

- 6.10 For the avoidance of doubt, nothing in this clause 6 prevents AAT from disclosing in the ordinary course of business or financial reporting information which has been aggregated with other information of a similar nature such that it cannot reasonably be, and is not reasonably capable of being, identified with, attributed to or used to identify any Terminal User.

Confidentiality policy

- 6.11 AAT must establish and maintain a confidentiality policy to assist its Personnel to comply with AAT's obligations under this clause 6.

AAT employees

- 6.12 Unless the ACCC otherwise agrees in writing, in relation to any AAT employee who has had access to Confidential Information of a Terminal User within a period of 6 months before ceasing to be an employee of AAT, AAT undertakes to:
- (a) procure that any such employee is not employed or engaged, within 6 months of ceasing to be an AAT employee, by a Related Body Corporate of AAT which is responsible for commercial dealings with customers acquiring stevedoring or PDI operator services within Fremantle; and
 - (b) do everything within its power to procure that any such employee is not employed or engaged, within 6 months of ceasing to be an AAT employee, by a Shareholder Related Entity which is responsible for commercial dealings with customers acquiring stevedoring or PDI operator services within Fremantle,

subject to clause 6.13.

- 6.13 Clause 6.12 does not apply to any AAT employee who is employed or engaged by a Related Body Corporate of AAT which is an Approved Terminal Operator within 6 months of ceasing to be an employee of AAT, but only if the employee has undertaken to AAT not to disclose to the extent permitted by law any Confidential Information provided to AAT during their employment with AAT to any person other than the Approved Terminal Operator.

AAT's compliance with confidentiality and ring-fencing measures

- 6.14 AAT must report any breaches of this clause 6 to the Approved Independent Auditor within 5 Business Days of becoming aware of the breach.

7. Berthing Allocation

- 7.1 AAT must not have any responsibility for determining the allocation of berths for vessels calling at the Terminal, nor manage or provide berthing services at the Terminal, unless AAT has offered, and the ACCC has accepted, a section 87B undertaking or variation to this Undertaking setting out the berthing allocation rules which will apply at the Terminal.

8. AAT's Self-Compliance Reports

- 8.1 AAT must provide a report (**Compliance Report**) to the ACCC and the Approved Independent Auditor no later than:
- (a) 28 February each year, covering the immediately prior six month period from 1 July to 31 December; and

- (b) 31 August each year, covering the immediately prior six month period from 1 January to 30 June.

8.2 The Compliance Report must contain:

- (a) a record of the average performance by AAT against each KPI in Schedule 2 for each calendar quarter within the relevant 6 month period:
 - (i) for any services provided in that period by AAT to its Shareholder Related Entities; and
 - (ii) for the same services provided in that period to all other Terminal Users,

(that is, for example, the report provided by AAT on 28 February must contain separate averages for the quarterly periods of 1 July to 30 September and 1 October to 31 December);

- (b) a copy of the Terminal Layout Plan; and
- (c) the identity of any Terminal User who provides Stevedoring Services or PDI Operator Services at the Terminal in which AAT or a Shareholder Related Entity has a direct or indirect interest greater than or equal to 20 per cent.

8.3 If this Undertaking commences or expires, is withdrawn or revoked during a 6 month period referred to in clause 8.1, the relevant Compliance Report need only cover the part of that 6 month period in respect of which this Undertaking was in operation.

9. Independent Audit

Approval of Proposed Independent Auditor

- 9.1 AAT must appoint and maintain an Approved Independent Auditor to audit and report upon AAT's compliance with this Undertaking.

Process for approving a Proposed Independent Auditor

- 9.2 AAT must, prior to, or within 5 Business Days after the Commencement Date, provide the ACCC with a notice for a Proposed Independent Auditor in the form prescribed in Schedule 3 to this Undertaking (**Proposed Independent Auditor Notice**), including draft terms of appointment and a draft audit plan.
- 9.3 If clauses 9.16, 9.17 or 9.18 apply, AAT must provide the ACCC with a Proposed Independent Auditor Notice within 5 Business Days after the relevant event occurs, otherwise clause 9.8 applies.
- 9.4 The ACCC shall have the discretion to approve or reject in writing the Proposed Independent Auditor identified in the Proposed Independent Auditor Notice.
- 9.5 Without limiting the ACCC's discretion, in deciding whether to approve a Proposed Independent Auditor, the factors to which the ACCC may have regard include whether the:
- (a) person named in the Proposed Independent Auditor Notice or identified by the ACCC has the qualifications and experience necessary to carry out the functions of the Approved Independent Auditor;
 - (b) person named in the Proposed Independent Auditor Notice or identified by the ACCC is sufficiently independent of AAT;

- (c) draft terms of appointment and the draft audit plan are consistent with this Undertaking; and
- (d) draft terms of appointment and the draft audit plan are otherwise acceptable to the ACCC.

Appointment of the Approved Independent Auditor

- 9.6 After receiving notice from the ACCC of its approval of a Proposed Independent Auditor, the draft terms of appointment and draft audit plan, AAT must within 5 Business Days:
- (a) appoint the person approved by the ACCC as the Approved Independent Auditor on the Approved Terms of Appointment; and
 - (b) forward to the ACCC a copy of the executed Approved Terms of Appointment.

Failure to appoint

- 9.7 The ACCC may exercise its powers under clause 9.8 if:
- (a) AAT has not provided the ACCC with a Proposed Independent Auditor Notice in accordance with clauses 9.2; or
 - (b) a new Approved Independent Auditor has not been appointed within 17 Business Days after the former Approved Independent Auditor resigns or otherwise ceases to act as the Approved Independent Auditor pursuant to clauses 9.16, 9.17 or 9.18.
- 9.8 If clause 9.7 applies, the ACCC at its absolute discretion may:
- (a) direct AAT to appoint a person who the ACCC has deemed is an Approved Independent Auditor; or
 - (b) identify and approve a person as the Approved Independent Auditor, including approving the draft terms of appointment and draft audit plan.

Obligations and powers of the Approved Independent Auditor

- 9.9 AAT must procure that any proposed terms of appointment for the Approved Independent Auditor include obligations on the Approved Independent Auditor to:
- (a) maintain his or her independence from AAT, apart from appointment to the role of Approved Independent Auditor, including not form any relationship of the types described in Schedule 3 to this Undertaking with AAT for the period of his or her appointment;
 - (b) conduct compliance auditing according to the Approved Audit Plan;
 - (c) conduct any *ad hoc* compliance audit if requested to do so by a Terminal User in accordance with clause 11 of this Undertaking;
 - (d) provide the following reports directly to the ACCC:
 - (i) a scheduled written Audit Report as described in clause 9.11; and
 - (ii) an immediate report of any issues that arise in relation to the performance of his or her functions as Approved Independent Auditor or in relation to compliance with this Undertaking;

- (iii) any Audit Reports following completion of an *ad hoc* compliance audit under clause 11; and
 - (e) follow any direction given to him or her by the ACCC in relation to the performance of his or her functions as Approved Independent Auditor under this Undertaking.
- 9.10 AAT must procure that any proposed terms of appointment for the Approved Independent Auditor provide the Approved Independent Auditor with the authority to:
- (a) access the facilities, sites or operations of AAT and AAT's other businesses as required by the Approved Independent Auditor;
 - (b) access any information or documents that the Approved Independent Auditor considers necessary for carrying out his or her functions as the Approved Independent Auditor or for reporting to or otherwise advising the ACCC; and
 - (c) engage any external expertise, assistance or advice required by the Approved Independent Auditor to perform his or her functions as the Approved Independent Auditor.

Compliance Audit

- 9.11 The Approved Independent Auditor must conduct an audit and prepare a detailed report (**Audit Report**) that includes:
- (a) the Approved Independent Auditor's procedures in conducting the audit, or any change to audit procedures since the previous Audit Report;
 - (b) to the extent feasible, a thorough audit of AAT's compliance with this Undertaking;
 - (c) an outline of areas of uncertainty or ambiguity in the Auditor's interpretation of any obligations contained in this Undertaking;
 - (d) all of the reasons for the conclusions reached in the Audit Report;
 - (e) any qualifications made by the Approved Independent Auditor in forming his or her views;
 - (f) any recommendations by the Approved Independent Auditor to improve:
 - (i) the Approved Audit Plan;
 - (ii) the integrity of the auditing process;
 - (iii) AAT's processes or reporting systems in relation to compliance with this Undertaking;
 - (iv) the KPIs in Schedule 2 of this Undertaking that AAT is required to report against in accordance with clause 8;
 - (v) the requirements and obligations included in this Undertaking in order to achieve the objectives in clause 2; and
 - (g) the implementation and outcome of any prior recommendations by the Approved Independent Auditor made under clause 9.11(f).
- 9.12 The Approved Independent Auditor is to provide an Audit Report to the ACCC and AAT at the following times:

- (a) within two months after the appointment of the Approved Independent Auditor, at which time the Audit Report is to include the results of the initial audit and any recommended changes to the Approved Audit Plan, including the Approved Independent Auditor's proposed procedures in conducting the audit (**Establishment Audit**);
 - (b) by 31 October each year (commencing on 31 October 2016) until the expiry, withdrawal or revocation of this Undertaking pursuant to clause 4;
 - (c) on completion of any *ad hoc* audit requested under clause 11.5; and
 - (d) a final report due three months after the expiry, withdrawal or revocation of this Undertaking pursuant to clause 4.
- 9.13 Unless otherwise agreed with the ACCC in writing, AAT must implement any recommendations of the Approved Independent Auditor made in the Audit Report pursuant to clause 9.11(f)(i) to 9.11(f)(v), and notify the ACCC of the implementation of the recommendations, within 10 Business Days after receiving the Audit Report or such other period as agreed in writing with the ACCC.
- 9.14 AAT must comply with any direction of the ACCC in relation to matters arising from the Audit Report within 10 Business Days after being so directed (or such other period as agreed in writing with the ACCC).

AAT's obligations in relation to the Approved Independent Auditor

- 9.15 Without limiting its obligations in this Undertaking, AAT must:
- (a) comply with and enforce the Approved Terms of Appointment for the Approved Independent Auditor;
 - (b) maintain and fund the Approved Independent Auditor to carry out his or her functions including:
 - (i) indemnifying the Approved Independent Auditor for any expenses, loss, claim or damage arising directly or indirectly from the performance by the Approved Independent Auditor of his or her functions as the Approved Independent Auditor except where such expenses, loss, claim or damage arises out of the gross negligence, fraud, misconduct or breach of duty by the Approved Independent Auditor;
 - (ii) providing and paying for any external expertise, assistance or advice required by the Approved Independent Auditor to perform his or her functions as the Approved Independent Auditor; and
 - (c) not interfere with, or otherwise hinder, the Approved Independent Auditor's ability to carry out his or her functions as the Approved Independent Auditor, including:
 - (i) directing AAT Personnel, including directors, contractors, managers, officers, employees and agents, to act in accordance with this clause 9;
 - (ii) providing access to the facilities, sites or operations of AAT and AAT's other businesses as required by the Approved Independent Auditor;
 - (iii) providing to the Approved Independent Auditor any information or documents requested by the Approved Independent Auditor that he or she considers necessary for carrying out his or her functions as the Approved Independent Auditor or for reporting to or otherwise advising the ACCC;

- (iv) not requesting any information relating to the compliance audit from the Approved Independent Auditor without such a request having been approved by the ACCC; and
- (v) not appoint the Approved Independent Auditor, or have any agreements with the Approved Independent Auditor, to utilise the Approved Independent Auditor's services for anything other than compliance with this Undertaking until at least 12 months after the Approved Independent Auditor ceases to act in the role of the Approved Independent Auditor.

Resignation, revocation or termination of the Approved Independent Auditor

- 9.16 AAT must immediately notify the ACCC in the event that the Approved Independent Auditor resigns or otherwise stops acting as the Approved Independent Auditor before the ACCC has provided the written notice pursuant to clause 4.1, 4.2, 4.3 or clause 4.4.
- 9.17 The ACCC may revoke an Approved Independent Auditor's status as the Approved Independent Auditor if the ACCC becomes aware that any information provided to it was incorrect, inaccurate or misleading.
- 9.18 The ACCC may approve any proposal by, or alternatively may direct, AAT to terminate the appointment of the Approved Independent Auditor if in the ACCC's view the Approved Independent Auditor acts inconsistently with the provisions of this Undertaking or the Approved Terms of Appointment.

Appointment of Approved Independent Auditor under another section 87B undertaking

- 9.19 Nothing in this clause 9 prohibits:
 - (a) a person who has been appointed as an approved independent auditor under the Authorisation or another section 87B undertaking given by AAT from being appointed as the Approved Independent Auditor; and
 - (b) the Approved Independent Auditor being appointed as an approved independent auditor under the Authorisation or another section 87B undertaking given by AAT.

10. Price Dispute Resolution

Price Disputes Resolution Process

- 10.1 AAT must comply with the Price Dispute Resolution Process at Schedule 4 to determine disputes by any Dispute Applicant in relation to Charges for the Access Services.
- 10.2 AAT may from time to time amend the Price Dispute Resolution Process, including to the extent necessary to comply with a written direction from the Port Manager, provided that AAT has obtained the prior written consent of the ACCC.

Appointment of Independent Price Expert

- 10.3 Within 20 Business Days of the Commencement Date, AAT must provide to the ACCC a written notice setting out the identity of the Proposed Independent Price Expert and a copy of the proposed terms of appointment for that Proposed Independent Price Expert (**Proposed Independent Price Expert Notice**).
- 10.4 The Proposed Independent Price Expert must have the qualifications and experience necessary to carry out the functions of the Independent Price Expert independently of AAT and must not be:

- (a) an employee or officer of AAT or its Shareholder Related Entities, whether current or in the past 3 years;
 - (b) a professional adviser of AAT or its Shareholder Related Entities, whether current or in the past 3 years;
 - (c) a person who, in the opinion of the ACCC, holds a material interest in AAT or its Shareholder Related Entities;
 - (d) a person who has a contractual relationship with AAT or its Shareholder Related Entities (other than the terms of appointment of the Independent Price Expert);
 - (e) a Terminal User, supplier or material customer of AAT or its Shareholder Related Entities; or
 - (f) an employee or contractor of a firm or company referred to in clauses 10.4(c) to 10.4(e).
- 10.5 AAT must provide to the ACCC such information and documents as the ACCC requires to assess the appointment of the Proposed Independent Price Expert.
- 10.6 The ACCC may, in its absolute discretion, consult with any other person in relation to the appointment of the Proposed Independent Price Expert as the Independent Price Expert.
- 10.7 If, after receipt by the ACCC of the Proposed Independent Price Expert Notice, the ACCC informs AAT in writing that it:
- (a) does not object to the Proposed Independent Price Expert, AAT will appoint the Proposed Independent Price Expert as the Independent Price Expert as soon as practicable on terms approved by the ACCC and consistent with the performance by the Independent Price Expert of his or her functions under the Price Dispute Resolution Process; or
 - (b) does object to the Proposed Independent Price Expert, AAT will appoint a person identified by the ACCC at its absolute discretion as the Independent Price Expert on terms approved by the ACCC and consistent with the performance by the Independent Price Expert of his or her functions under the Price Dispute Resolution Process.
- 10.8 Within 5 Business Days of the appointment of the Independent Price Expert under clause 10.7, AAT must:
- (a) forward to the ACCC a copy of the executed terms of appointment; and
 - (b) publish the name and contact details of the Independent Price Expert on AAT's website.
- 10.9 Nothing in this clause 10 prohibits:
- (a) a person who has been appointed as an independent price expert under the Authorisation or another section 87B undertaking given by AAT from being appointed as the Independent Price Expert; and
 - (b) the Independent Price Expert being appointed as an independent price expert under the Authorisation or another section 87B undertaking given by AAT.

Term of the Independent Price Expert's appointment

- 10.10 The Independent Price Expert is to be appointed for a term of two years, commencing on the Commencement Date. Prior to the end of the Independent Price Expert's term, AAT must appoint another person as the Independent Price Expert.
- 10.11 Each Independent Price Expert who is appointed after the first Independent Price Expert is to be appointed for a term of two years, commencing on the day after the end of the previous Independent Price Expert's term. Prior to the end of each subsequent Independent Price Expert's term, AAT must appoint another person as the Independent Price Expert.
- 10.12 Clauses 10.3 to 10.8 apply to the appointment of any subsequent Independent Price Expert required by clauses 10.10 and 10.11 as if the reference in clause 10.3 to "Within 20 Business Days of the date of this Undertaking" reads "At least 20 Business Days prior to the end of the Independent Price Expert's term".
- 10.13 A person who is, or who has been, the Independent Price Expert is eligible for reappointment as the Independent Price Expert.

Conditions relating to Independent Price Expert's functions

- 10.14 AAT must:
- (a) procure that the terms of appointment of the Independent Price Expert include obligations on the Independent Price Expert to:
 - (i) continue to satisfy the independence criteria in clause 10.4 for the period of his or her appointment;
 - (ii) provide any information or documents requested by the ACCC about AAT's compliance with this Price Dispute Resolution Process directly to the ACCC;
 - (iii) report or otherwise inform the ACCC directly of any issues that arise in the performance of his or her functions as Independent Price Expert or in relation to any matter that may arise in connection with this Price Dispute Resolution Process.
 - (b) comply with and enforce the terms of appointment for the Independent Price Expert;
 - (c) maintain and fund the Independent Price Expert to carry out his or her functions;
 - (d) indemnify the Independent Price Expert for any expenses, loss, claim or damage arising directly or indirectly from the performance by the Independent Price Expert of his or her functions as the Independent Price Expert except where such expenses, loss, claim or damage arises out of the gross negligence, fraud, misconduct or breach of duty by the Independent Price Expert;
 - (e) not interfere with, or otherwise hinder, the Independent Price Expert's ability to carry out his or her functions as the Independent Price Expert;
 - (f) provide and pay for any external expertise, assistance or advice required by the Independent Price Expert to perform his or her functions as the Independent Price Expert;
 - (g) provide to the Independent Price Expert any information or documents requested by the Independent Price Expert that he or she considers necessary for carrying

his or her functions as the Independent Price Expert or for reporting to or otherwise advising the ACCC; and

- (h) ensure that the Independent Price Expert will provide information or documents requested by the ACCC directly to the ACCC.

11. Non-Price Dispute Resolution

Non-Price Dispute Resolution Process

- 11.1 AAT must comply with the Non-Price Dispute Resolution Process at Schedule 5 to determine disputes by any Dispute Applicant in relation to the granting, refusal to grant, conditions or administration of an Access Licence Agreement, other than in relation to the amount of any Charges.
- 11.2 For the avoidance of doubt, AAT must permit a Dispute Applicant to raise a dispute under the Non-Price Dispute Resolution Process in relation to AAT's compliance with:
 - (a) Clause 5 - Open Access Conditions affecting the Dispute Applicant;
 - (b) Clause 6 - Access to and use of that Terminal User's ring-fenced Confidential Information.
- 11.3 AAT may from time to time amend the Non-Price Dispute Resolution Process, including to the extent necessary to comply with a written direction from the Port Manager, provided that AAT has obtained the prior written consent of the ACCC.
- 11.4 For the avoidance of doubt, a Dispute Applicant may raise a complaint regarding AAT's compliance with this Undertaking directly with the ACCC at any time.

Ad hoc independent audit

- 11.5 In addition to the Non-Price Dispute Resolution Process, a Terminal User who has a complaint about AAT's compliance with this Undertaking may at any time, by providing notice in writing to AAT and the ACCC, request the Approved Independent Auditor to undertake a compliance audit in accordance with clause 9 in relation to that specific complaint and prepare an Audit Report in relation to that specific complaint (**Ad Hoc Audit Notice**).
- 11.6 To be valid, an Ad Hoc Audit Notice must contain:
 - (a) a description of the complaint and reasons why the Terminal User suspects that AAT may have breached its obligations under this Undertaking; and
 - (b) an unconditional undertaking by the Terminal User to pay the costs of the Approved Independent Auditor in connection with the audit requested in the Ad Hoc Audit Notice, within 14 days of:
 - (i) withdrawal of an Ad Hoc Audit Notice by the Terminal User; or
 - (ii) completion of the audit, if the Approved Independent Auditor does not find or report that AAT has breached its obligations under this Undertaking in relation to the matters set out in the Ad Hoc Audit Notice giving rise to the audit.
- 11.7 A Terminal User may at any time withdraw an Ad Hoc Audit Notice by notifying AAT and the Approved Independent Auditor in writing, in which case the requirement for the Approved Independent Auditor to prepare an Audit Report under clauses 9.11 and 9.12 ceases.

12. Information

- 12.1 The ACCC may direct AAT in respect of its compliance with this Undertaking by AAT to, and AAT must:
- (a) furnish information to the ACCC in the time and in the form requested by the ACCC;
 - (b) produce documents and materials to the ACCC within AAT's custody, power or control in the time and in the form requested by the ACCC; and/or
 - (c) attend the ACCC at a time and place appointed by the ACCC to answer any questions the ACCC (its Commissioners, its staff or its agents) may have.
- 12.2 Any direction made by the ACCC under clause 12.1 will be notified to AAT, in accordance with clause 20.2.
- 12.3 In respect of AAT's compliance with this Undertaking or an Approved Independent Auditor's compliance with its Approved Terms of Appointment, the ACCC may request any Approved Independent Auditor to:
- (a) furnish information to the ACCC in the time and in the form requested by the ACCC;
 - (b) produce documents and materials to the ACCC within the Approved Independent Auditor's custody, power or control in the time and in the form requested by the ACCC; and/or
 - (c) attend the ACCC at a time and place appointed by the ACCC to answer any questions the ACCC (its Commissioners, its staff or its agents) may have.
- 12.4 AAT will use its best endeavours to ensure that an Approved Independent Auditor complies with any request from the ACCC in accordance with clause 12.3.
- 12.5 Information furnished, documents and material produced or information given in response to any request or direction from the ACCC under this clause 12 may be used by the ACCC for any purpose consistent with the exercise of its statutory duties.
- 12.6 The ACCC may in its discretion to be exercised in good faith:
- (a) advise any Approved Independent Auditor of any request made by it under this clause 12; and/or
 - (b) provide copies to any Approved Independent Auditor of any information furnished, documents and material produced or information given to it under this clause 12.
- 12.7 Nothing in this clause 12 requires the provision of information or documents in respect of which AAT has a claim of legal professional or other privilege.

13. Review of the terms of this Undertaking

- 13.1 The ACCC may, after the second anniversary of the Commencement Date and thereafter not more than once in any 5 year period, review the terms of this Undertaking to consider whether any more changes to the terms of this Undertaking are necessary given the objectives of this Undertaking as described in clause 2.
- 13.2 On deciding to conduct a review pursuant to clause 13.1, the ACCC may invite submissions from AAT, the Port Manager and other parties with an interest in the terms and conditions of access to the Terminal on whether any changes to the terms of this Undertaking are necessary in order to ensure that this Undertaking continues to achieve the objectives as described in clause 2.
- 13.3 The factors to which the ACCC may have regard in making a decision to review pursuant to clause 13.1 or in conducting the review include but are not limited to:
- (i) the Audit Reports prepared by the Approved Independent Auditor in accordance with clause 9.11;
 - (ii) any *ad hoc* audit reports prepared in accordance with clause 11.5;
 - (iii) disputes raised under clause 5 (Open Access Conditions), clause 10 (Price Dispute Resolution) or clause 11 (Non-Price Dispute Resolution);
 - (iv) any change in circumstances since the Commencement Date or the last review conducted pursuant to clause 13.1; and
 - (v) any submissions from parties with an interest in the terms and conditions of access to the Terminal received by the ACCC.

Amendment Notice

- 13.4 Following a review in accordance with clauses 13.1, 13.2 and 13.3, if the ACCC is satisfied that a variation is necessary to ensure that the Undertaking continues to achieve the objectives as described in clause 2, the ACCC may give AAT an amendment notice (**Amendment Notice**) which sets out any changes that the ACCC considers should be made to the Undertaking and an explanation for those changes. The ACCC will, subject to removing any confidential information of AAT or any other person:
- (i) publish the Amendment Notice on the ACCC's website;
 - (ii) give a copy of the Amendment Notice to the Port Manager; and
 - (iii) publicly consult on the Amendment Notice.

Proposed Variations to this Undertaking following ACCC review

- 13.5 Following any consultation on the Amendment Notice, if the ACCC decides that changes to this Undertaking are necessary in order to ensure that the Undertaking continues to achieve the objectives as described in clause 2 the ACCC will provide AAT with a notice setting out the terms of a variation to the Undertaking which is acceptable to the ACCC (**Variation Notice**).
- 13.6 AAT must:
- (a) consult in good faith with the ACCC with a view to proposing variations to this Undertaking which will address the matters stated in the Variation Notice; and

- (b) notify the ACCC within 90 days of receiving a Variation Notice if AAT agrees to seek a variation to the Undertaking either:
 - (i) in the form set out in the Variation Notice; or
 - (ii) in a form agreed between the ACCC and AAT following the consultations undertaken in accordance with clause 13.6(a);
- (c) If AAT notifies the ACCC that it agrees to seek a variation to the Undertaking in accordance with clause 13.6(b), at that same time, AAT must provide a proposed variation to the Undertaking to the ACCC for the purpose of seeking ACCC consent in accordance with section 87B(2) of the Act.

Referral to expert determination

- 13.7 If AAT does not agree to seek a variation to this Undertaking in accordance with clause 13.6(b) (**Variation Dispute**), AAT must provide written notice to the ACCC of the Variation Dispute, including:
- (a) written reasons explaining why AAT does not propose to seek a variation to the Undertaking;
 - (b) the identity of a proposed independent expert who will be appointed to conduct the expert determination (**Proposed Independent Expert**); and
 - (c) details of the Proposed Independent Expert's relevant qualifications and experience necessary to carry out the expert determination independently of AAT, (**Variation Dispute Notice**).
- 13.8 The Proposed Independent Expert must not be:
- (a) an employee or officer of AAT or its Shareholder Related Entities, whether current or in the past 3 years;
 - (b) a professional adviser of AAT or its Shareholder Related Entities, whether current or in the past 3 years;
 - (c) a person who has a contractual relationship with AAT or its Shareholder Related Entities; or
 - (d) an employee or contractor of a firm or company referred to in clause 13.8(c).
- 13.9 Nothing in this clause 13 prohibits:
- (a) a person who has been appointed as an independent expert under a section 87B undertaking given by AAT or an Approved Terminal Operator from being nominated as the Proposed Independent Expert; and
 - (b) the Proposed Independent Expert being appointed as an independent expert under a section 87B undertaking given by AAT or an Approved Terminal Operator.
- 13.10 Within 10 Business Days of AAT providing a Variation Dispute Notice to the ACCC, the ACCC will provide written notice to AAT informing AAT of its decision to agree or not agree to the Proposed Independent Expert identified by AAT pursuant to clause 13.7(b).
- 13.11 If AAT and the ACCC cannot agree on an independent expert to be appointed to determine the Variation Dispute within 20 Business Days of AAT providing a Variation Dispute Notice to the ACCC, then the Chairman of the Victorian Bar Council will determine the identity of

the independent expert and the Variation Dispute will be referred to that independent expert for determination.

- 13.12 The cost of the independent expert will be borne by AAT unless otherwise agreed.
- 13.13 AAT will use best endeavours to ensure that the independent expert is provided with:
- (a) all relevant information available to AAT in relation to the Variation Dispute; and
 - (b) all reasonable assistance, in a timely manner, to enable the expert to make a determination in relation to the Variation Dispute Notice within 60 Business Days of referral to that expert.
- 13.14 The independent expert will decide whether the ACCC's proposed variation to the Undertaking as set out in the Variation Notice is necessary to ensure that the Undertaking continues to meet the objectives of this Undertaking as described in clause 2 of this Undertaking.
- 13.15 If the independent expert decides that the ACCC's proposed variation to the Undertaking as set out in the Variation Notice (with such minor modifications as the expert considers necessary) is necessary to ensure that the Undertaking continues to meet the objectives of this Undertaking as described in clause 2 of this Undertaking, AAT must proffer a proposed variation in accordance with the ACCC's proposed variation to the ACCC for the purpose of seeking ACCC consent in accordance with section 87B(2) of the Act within 5 Business Days of the independent expert's decision.
- 13.16 If the independent expert decides that a variation is necessary to ensure that the Undertaking continues to meet the objectives of this Undertaking as described in clause 2 of this Undertaking but this variation differs materially from the ACCC's proposed variation, AAT must proffer a proposed variation in accordance with the expert's proposed variation to the ACCC for the purpose of seeking ACCC consent in accordance with section 87B(2) of the Act within 5 Business Days of the independent expert's decision. The ACCC may in its complete discretion decide whether or not to consent to the variation proffered by AAT.
- 13.17 If the independent expert decides that a variation is not necessary to ensure that the Undertaking continues to meet the objectives of this Undertaking as described in clause 2 of this Undertaking, the ACCC's Variation Notice lapses.
- 13.18 The independent expert's decision will be final and binding on AAT and AAT must take all steps to ensure that the independent expert's decision is fulfilled or otherwise given effect to.
- 13.19 Nothing in this clause 13 prevents the ACCC from investigating a potential breach of this Undertaking or from applying to the Court for orders pursuant to section 87B of the Act in respect of a breach of this Undertaking at any time.

14. Disclosure of this Undertaking

- 14.1 Within 5 Business Days of the Commencement Date, AAT will publish a copy of this Undertaking on its website.
- 14.2 AAT acknowledges that the ACCC may:
- (a) make this Undertaking publicly available;
 - (b) publish this Undertaking on its Public Section 87B Undertakings Register and Public Mergers Register; and
 - (c) from time to time publicly refer to this Undertaking.

15. Obligation to procure, direction to AAT personnel and assistance from Related Bodies Corporate

- 15.1 Where the performance of an obligation under this Undertaking requires a Related Body Corporate of AAT to take or refrain from taking some action, AAT must procure that Related Body Corporate to take or refrain from taking that action.
- 15.2 As soon as practicable after the Commencement Date, AAT must direct its Personnel, including directors, contractors, managers, officers, employees and agents not to do anything inconsistent with AAT's obligations under this Undertaking.
- 15.3 AAT must ensure that any Related Body Corporate provides all necessary assistance and information so that AAT is in a position to comply with any:
- (a) direction from the ACCC under clause 12.1; or
 - (b) request from the Approved Independent Auditor in accordance with clause 9;
- for the purposes of the ACCC or the Approved Independent Auditor (as applicable) investigating AAT's compliance with clause 6.
- 15.4 Nothing in this Undertaking prohibits:
- (a) AAT Personnel from being employed, appointed or engaged by an Approved Terminal Operator; or
 - (b) the Personnel of an Approved Terminal Operator from being employed, appointed or engaged by AAT.

16. No derogation

- 16.1 This Undertaking does not prevent the ACCC from taking enforcement action at any time whether during or after the period of this Undertaking in respect of any breach by AAT of any term of this Undertaking.
- 16.2 Nothing in this Undertaking is intended to restrict the right of the ACCC to take action under the Act for penalties or other remedies in the event that AAT does not fully implement and/or perform its obligations under this Undertaking or in any other event where the ACCC decides to take action under the Act for penalties or other remedies.

17. Change of Control of the AAT Victoria Quay Business

- 17.1 In the event that a Change of Control of the AAT Victoria Quay Business is reasonably expected to occur before the withdrawal of this Undertaking in accordance with clause 4.2 AAT must:
- (a) notify the ACCC of this expectation as soon as is practicable; and
 - (b) only implement a Change of Control to another person or entity if that person or entity has given a section 87B undertaking to the ACCC that requires it to comply with the same obligations as are imposed on AAT pursuant to this Undertaking, or on terms that are otherwise acceptable to the ACCC, unless the ACCC has notified AAT in writing that a section 87B undertaking under this clause is not required.

18. Resolving inconsistencies

- 18.1 To the extent there are any inconsistencies between this Undertaking and the Terminal Licence as regards AAT's obligations pursuant to this Undertaking, this Undertaking prevails.

19. Costs

- 19.1 AAT must pay all of its own costs incurred in relation to this Undertaking.

20. Notices

Giving notice

- 20.1 Any notice or communication to the ACCC pursuant to this Undertaking must be sent to:

Email address: mergers@accc.gov.au

Attention: Executive General Manager
Merger and Authorisation Review Division

With a copy sent to:

Email address: mergersucu@accc.gov.au

Attention: Director, Undertakings Compliance Unit
Coordination and Strategy Branch
Merger and Authorisation Review Division

- 20.2 Any notice or communication to AAT pursuant to this Undertaking must be sent to:

Name: Australian Amalgamated Terminals Pty Ltd

Address: Level 11, 330 Collins Street, Melbourne

Email address: craig.faulkner@aaterminals.com.au

Attention: Chief Executive Officer

When a notice is received

- 20.3 If sent by post, notices are taken to be received 3 Business Days after posting (or 7 Business Days after posting if sent to or from a place outside Australia).
- 20.4 If sent by email, notices are taken to be received at the time shown in the email as the time the email was sent.

Change of contact details

- 20.5 AAT must notify the other party of a change to its contact details within 3 Business Days.
- 20.6 Any notice or communication will be sent to the most recently advised contact details and subject to clause 20.3 and 20.4, will be taken to be received.

21. Definitions

21.1 Definitions

In this document, unless the context requires otherwise:

AAT means Australian Amalgamated Terminals Pty Ltd ACN 098 458 229.

AAT Compliance Officer means the person referred to in clause 6.5 of this Undertaking.

AAT Victoria Quay Business means the business of operating the Terminal in accordance with the Terminal Lease and Terminal Licence.

ACCC means the Australian Competition and Consumer Commission.

Access Licence Agreement means an agreement between AAT and a Licensee under which the Licensee is supplied the Access Services by AAT.

Access Services means:

- (a) the use of facilities and infrastructure owned, operated or controlled; or
- (b) services and anything else provided,

by AAT at the Terminal which in each case AAT makes available to allow a Licensee to provide all or part of the Terminal Services and which, at a minimum, includes those services AAT makes available to stevedores and PDI operators.

Act means the *Competition and Consumer Act 2010* (Cth).

Ad Hoc Audit Notice has the meaning given in clause 11.5 of this Undertaking.

Amendment Notice has the meaning given in clause 13.4 of this Undertaking.

Applicant means any stevedore, PDI operator, Mooring Service provider or any other user seeking Access Services.

Approved Audit Plan means the plan approved by the ACCC in accordance with the terms of this Undertaking, by which the Approved Independent Auditor will audit and report upon compliance with this Undertaking.

Approved Independent Auditor means the person appointed under clause 9.6 of this Undertaking.

Approved Terminal Operator means a Related Body Corporate of AAT which operates a Qualified Terminal and has given a section 87B undertaking to the ACCC in relation to its operation of that Qualified Terminal in substantially similar terms to this Undertaking.

Approved Terms of Appointment means the terms of appointment for the Approved Independent Auditor, as approved by the ACCC in accordance with the terms of this Undertaking.

Associated Entity has the meaning given by section 50AAA of the Corporations Act.

Audit Report has the meaning given in clause 9.11 of this Undertaking.

Authorisation means the conditions attached to authorisation numbers A91141, A91142, A91181 and A91182 granted by the ACCC to AAT, P&O Wharf Management Pty Limited

and Plzen Pty Limited on 3 December 2009, and any future variations or further conditions to authorisation that amend or replace those conditions.

Berths means berths H and E/F located at Victoria Quay in the inner harbour at the Port of Fremantle.

Business Day means a day other than a Saturday or Sunday on which banks are open for business generally in Perth.

Change of Control means the assignment or other transfer of the legal or beneficial ownership of some or all of the AAT Victoria Quay Business to any other person or entity, or the sale or transfer of any assets necessary, or which may be necessary, to enable compliance with this Undertaking in its entirety.

Charges means the fees or charges payable by a Licensee to AAT for the Access Services which must (at a minimum) be separated into discrete fees and charges payable for each category of Access Services (or any material part thereof).

Commencement Date has the meaning given in clause 3.1 of this Undertaking.

Comparable Cargo means cargo which is similar in nature, type, size or volume.

Compliance Report has the meaning given in clause 8.1 of this Undertaking.

Confidential Information means information provided by a Terminal User to AAT in relation to the supply of Access Services to that Terminal User which is:

- (a) by its nature confidential, including but not limited to information about that Terminal User's cargo manifests, cargo descriptions, cargo markings, cargo mix/volumes, cargo origin and destinations, overseas and local customer details, terminal expenditure/cost information; or
- (b) designated to be confidential by the Terminal User who supplied it; or
- (c) known, or ought reasonably to be known, by AAT to be confidential or commercially valuable,

but excludes information that:

- (d) is comprised solely of the name, address, and contact details of a Terminal User for the sole purpose of allowing AAT to comply with requirements of the Open Access Conditions where those details are to be published on AAT's website ;
- (e) was in the public domain at the time when it was supplied;
- (f) subsequently becomes available other than through a breach of confidence or breach of this Undertaking;
- (g) was in the lawful possession of AAT prior to being provided by the Terminal User; or
- (h) ceases to be confidential in nature by any other lawful means.

Corporations Act means the *Corporations Act 2001* (Cth).

Dispute Applicant means a person with a genuine direct or indirect economic interest in the term and conditions of use of the Terminal and includes shipping lines, importers and exporters.

Entities Connected has the meaning given by section 64B of the Corporations Act.

Establishment Audit has the meaning given in clause 9.12 of this Undertaking.

Financial Year means a financial year ending 30 June.

Fremantle Ports means the Fremantle Port Authority ABN 78 187 229 472.

Independent Price Expert means the person appointed under clause 10.7 of this Undertaking.

Licensee means any stevedore, PDI operator, Mooring Service provider or any other user granted the right to provide part of the Terminal Services from time to time under an Access Licence Agreement with AAT.

Material Shareholder means a shareholder of AAT with a greater than 10% shareholding.

Mooring Services means the mooring and unmooring of vessels at the Berths.

Non-Price Dispute means a dispute raised by a Dispute Applicant in relation to the granting, refusal to grant, conditions or administration of an Access Licence Agreement by AAT, other than in relation to the amount of any Charges.

Non-Price Dispute Resolution Process means the non-price dispute resolution process established by AAT and set out in Schedule 5 of this Undertaking and as amended from time to time in accordance with clause 11.3 of this Undertaking.

Open Access Conditions are the conditions contained in Schedule 1 of this Undertaking.

PDI Operator Services means the undertaking of pre-delivery inspection activities at the Terminal.

Personnel means, in relation to a party, that party's officers, employees, agents and contractors who work in or exercise management oversight over or responsibility for that party.

Port has the meaning given in clause 2.1 of this Undertaking.

Port Manager the owner and/or manager of the Port of Fremantle from time to time, being initially Fremantle Ports.

Price Dispute means a dispute raised by a Dispute Applicant about the proposed increase to a Charge which relates to that Dispute Applicant.

Price Dispute Resolution Process means the price dispute resolution process established by AAT and set out in Schedule 4 of this Undertaking, and as amended from time to time in accordance with clause 10.2 of this Undertaking.

Proposed Independent Auditor Notice has the meaning given in clause 9.2 of this Undertaking.

Proposed Independent Expert has the meaning given in clause 13.7(b) of this Undertaking.

Proposed Independent Price Expert means the prospective independent price expert identified by AAT who will, subject to approval by the ACCC, determine all Price Disputes for all Terminal Users for the forthcoming period of 2 years.

Proposed Independent Price Expert Notice has the meaning given in clause 10.3 of this Undertaking.

Proposed Transaction has the meaning given in clause 2.8 of this Undertaking.

Public Mergers Register means the ACCC's public register of merger clearances, available at www.accc.gov.au.

Public Section 87B Undertakings Register means the ACCC's public register of section 87B undertakings, available at www.accc.gov.au.

Qualified Terminal means an automotive and/or RoRo terminal in Australia.

Related Body Corporate has the meaning given in section 50 of the Corporations Act.

Related Entities has the meaning given to it by section 9 of the Corporations Act.

Related Parties has the meaning given to it by section 228 of the Corporations Act.

Shareholder means each of P&O Wharf Management Pty Limited ACN 100 737 264 and Plzen Pty Limited ACN 065 905 571 and any Material Shareholder that is, or has a Related Body Corporate that is, a Terminal User.

Shareholder Related Entity means any Shareholder of AAT and any Related Bodies Corporate of AAT or such a Shareholder.

Stevedoring Services means the loading and unloading of vessels at the Berths and transfer of cargo to the Terminal.

Terminal means the automotive terminal operated by AAT and located at Victoria Quay, Fremantle, Western Australia.

Terminal Dispute means any Non-Price Dispute or Price Dispute.

Terminal Layout Plan means a plan of the Terminal showing the names and boundaries of the designated storage areas for import cargo. The Terminal Layout Plan must contain at least 4 separate storage areas and may be varied by AAT from time to time, provided that any variation is consistent with the objective of KPI 4 and there remain at least 4 separate storage areas in the Plan for import cargo (unless the ACCC otherwise agrees).

Terminal Lease has the meaning given in clause 2.7 of this Undertaking.

Terminal Licence means the deed between Fremantle Ports and AAT under which Fremantle Ports grants AAT the right to develop, operate and provide services at the Terminal.

Terminal Services means:

- (a) PDI Operator Services, Stevedoring Services and Mooring Services; and
- (b) any other services of a kind offered by AAT to its Shareholder Related Entities or third parties, including stevedores, PDI operators, shipping lines, importers and exporters, through its own use of the Terminal.

Terminal User means:

- (a) any stevedore, PDI operator or shipping line using the Terminal; or
- (b) any other person who has applied for, whether successful or not, the right to provide services at the Terminal from time to time under an Access Licence Agreement with AAT.

Undertaking is a reference to all provisions of this document, including its schedules and as varied from time to time under section 87B of the Act.

Variation Dispute has the meaning given in clause 13.7 of this Undertaking.

Variation Dispute Notice has the meaning given in clause 13.7 of this Undertaking.

Variation Notice has the meaning given in clause 13.5 of this Undertaking.

Vessel Details means vessel name, voyage number, estimated time of arrival at Terminal, receiving, cut-off and delivery dates for vessels arriving at the Terminal.

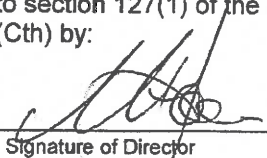
22. Interpretation

- 22.1 In the interpretation of this Undertaking, the following provisions apply unless the context otherwise requires:
- (a) a reference to this Undertaking includes all of the provisions of this document including its schedules;
 - (b) headings are inserted for convenience only and do not affect the interpretation of this Undertaking;
 - (c) if the day on which any act, matter or thing is to be done under this Undertaking is not a Business Day, the act, matter or thing must be done on the next Business Day;
 - (d) a reference in this Undertaking to any law, legislation or legislative provision includes any statutory modification, amendment or re-enactment, and any subordinate legislation or regulations issued under that legislation or legislative provision;
 - (e) a reference in this Undertaking to any company includes a company over which that company is in a position to exercise control within the meaning of section 50AA of the Corporations Act;
 - (f) a reference in this Undertaking to any agreement or document is to that agreement or document as amended, novated, supplemented or replaced;
 - (g) a reference to a clause, part, schedule or attachment is a reference to a clause, part, schedule or attachment of or to this Undertaking;
 - (h) an expression importing a natural person includes any company, trust, partnership, joint venture, association, body corporate or governmental agency;
 - (i) where a word or phrase is given a defined meaning, another part of speech or other grammatical form in respect of that word or phrase has a corresponding meaning;
 - (j) a word which denotes the singular also denotes the plural, a word which denotes the plural also denotes the singular, and a reference to any gender also denotes the other genders;
 - (k) a reference to the words 'such as', 'including', 'particularly' and similar expressions is to be construed without limitation;
 - (l) a construction that would promote the purpose - or object - underlying the Undertaking (whether expressly stated or not) will be preferred to a construction that would not promote that purpose or object;
 - (m) material not forming part of this Undertaking may be considered to:

- (i) confirm the meaning of a clause is the ordinary meaning conveyed by the text of the clause, taking into account its context in the Undertaking and the competition concerns intended to be addressed by the Undertaking and the clause in question; or
 - (ii) determine the meaning of the clause when the ordinary meaning conveyed by the text of the clause, taking into account its context in the Undertaking and the purpose or object underlying the Undertaking, leads to a result that does not promote the purpose or object underlying the Undertaking;
- (n) in determining whether consideration should be given to any material in accordance with clause 22.1(m), or in considering any weight to be given to any such material, regard must be had, in addition to any other relevant matters, to the:
 - (i) effect that reliance on the ordinary meaning conveyed by the text of the clause would, have (taking into account its context in the Undertaking and whether that meaning promotes the purpose or object of the Undertaking); and
 - (ii) need to ensure that the result of the Undertaking is to completely address any ACCC competition concerns;
- (o) the ACCC may authorise the Mergers Review Committee, a member of the ACCC or a member of the ACCC staff, to exercise a decision making function under this Undertaking on its behalf and that authorisation may be subject to any conditions which the ACCC may impose;
- (p) in performing its obligations under this Undertaking, AAT will do everything reasonably within its power to ensure that its performance of those obligations is done in a manner which is consistent with promoting the purpose and object of this Undertaking;
- (q) a reference to:
 - (i) a thing (including, but not limited to, a chose in action or other right) includes a part of that thing;
 - (ii) a party includes its successors and permitted assigns; and
 - (iii) a monetary amount is in Australian dollars.

Executed as an Undertaking

**Executed by Australian Amalgamated
Terminals Pty Ltd ACN 098 458 229** pursuant
to section 127(1) of the *Corporations Act 2001*
(Cth) by:



Signature of Director

MAURICE JAMES

Name of Director
(Block Letters)

20 Apr. 1 2015

Date



Signature of Director/Secretary

JONATHAN C. FAULKNER

Name of Director/Secretary
(Block Letters)

20 April 2015

Date

**Accepted by the Australian Competition and
Consumer Commission** pursuant to section
87B of the *Competition and Consumer Act 2010*
(Cth) on:

22 April 2015

Date

and signed on behalf of the Commission:



Chairman

22/4/15

Date

Schedule 1 – Open Access Conditions

1. Definitions

In this Schedule 1, terms are defined as set out in clause 21 of this Undertaking, unless specified as follows:

Applicant means any stevedore, PDI operator, Mooring Service provider or any other user seeking Access Services.

Licence Application Form means the application form the Operator requires Applicants to complete in order to apply for Access Services to provide PDI Operator Services, Stevedoring Services, Mooring Services and any other Terminal Service (as the case may be).

Operator means Australian Amalgamated Terminals Pty Ltd ACN 098 458 229.

2. No discrimination or hindering access

- (a) The Operator must offer Access Services to an Applicant on terms no less favourable than terms offered to a Licensee for Access Services to conduct comparable Terminal Services.
- (b) The Operator must not discriminate between different Applicants and Licensees, in offering and providing Access Services to conduct comparable Terminal Services.
- (c) The Operator must not engage in conduct for the purpose of preventing or hindering Access Services to conduct Terminal Services by any Applicant or Licensee.
- (d) The Operator must not discriminate between different persons, in offering and providing Terminal Services directly to third parties.

3. Eligibility requirements

The Operator must ensure that every Applicant can demonstrate, to the Operator's reasonable satisfaction, that the Applicant:

- (a) is solvent;
- (b) has a legal ownership structure with a sufficient capital base and assets of value to meet the actual potential liabilities under an agreement for the supply of Access Services, including the ability to pay any charges when they fall due;
- (c) is able to provide credit support; and
- (d) has in place appropriate occupational health and safety standards.

4. Operator obligations

- (a) The Operator must publish on its website:
 - (i) the Licence Application Form;
 - (ii) current Charges for each Access Service;

- (iii) the terms and conditions on which Access Services are offered;
 - (iv) the process for assessing and approving an application by an Applicant and executing an Access Licence Agreement, including timeframes, the price review mechanism and a dispute resolution mechanism;
 - (v) full details of the Price Dispute Resolution Process and Non- Price Dispute Resolution Process;
 - (vi) entity names and ABNs of each Licensee.
- (b) The Operator must negotiate in good faith for the provision of Access Services.
 - (c) The Operator must provide unsuccessful Applicants with a statement of reasons for the decision, and provide a copy to the Port Manager.
 - (d) The Operator must supply Access Services at prices no greater than the then current Charges payable for the Access Services.

5. Complaints and requests for information

- (a) The Operator must notify the Port Manager within two Business Days after the date of receiving:
 - (i) a complaint from any person in relation to Access Services;
 - (ii) a request or inquiry from the Australian Competition and Consumer Commission concerning a complaint about the Operator's compliance with this Undertaking, and including a request for information or documents under the *Competition and Consumer Act 2010* (Cth) or this Undertaking.
- (b) The Operator must co-operate with the Port Manager in the resolution of complaints by any person in relation to Access Services or responding to inquiries or requests by the Australian Competition and Consumer Commission.
- (c) The Operator must co-operate with the Australian Competition and Consumer Commission in relation to any inquiries or requests, including requests for information or documents.

6. Charges

At least 60 Business Days before the end of each financial year ending 30 June, the Operator must:

- (a) publish on its website the proposed Charges applicable for the next financial year; and
- (b) provide written notice to each Licensee of the proposed Charges applicable for the next financial year, and to any person who has informed AAT in writing that it wishes to be notified of the proposed price increase.
- (c) include on its website and in the notice referred to in this paragraph, a requirement that any person who disputes the proposed Charges, may do so in accordance with the Price Dispute Resolution Process and must notify the Operator in writing of the dispute at least 45 Business Days before the end of the financial year.

Schedule 2 – Key Performance Indicators

See clause 8 of this Undertaking for AAT's comparative reporting obligations on each of the following KPIs.

AAT will report against these KPIs. The purpose of KPI reporting under this Undertaking is to monitor AAT's compliance with its obligations in this Undertaking, including the Open Access Conditions and ring fencing obligations. The KPIs are therefore undertaking compliance tools, and will not be used to measure the performance of individual Terminal Users.

KPI	Purpose	Calculation of KPI
1. Truck turnaround time	Assess AAT's compliance with the Open Access Conditions by measuring the average time trucks are spending at the Terminal picking up or delivering cargo. This will be influenced by the AAT's allocation of the storage location of the relevant cargo at the Terminal.	Average time spent at the Terminal picking up or delivering cargo, measured from the time the truck enters the Terminal gate to the time when the truck departs the Terminal through the Terminal gate, for: (a) Automobiles (b) Break bulk cargo (including high and heavy cargo)
2. Yard dwell time, imports	Assess AAT's compliance with the Open Access Conditions by measuring the average time import cargo units stay at the designated cargo pickup area of the Terminal waiting for pick up, once the cargo is ready to be picked up. AAT determines pick-up times.	Average time cargo units stay at the designated cargo pickup area of the Terminal measured from announced time for pick-up to actual pick-up. The announced time is based on the earliest practical time it is possible for a truck to safely enter the designated cargo pick up area in the Terminal after the completion of vessel discharge operations, assuming all import documentation and clearances are complete.

KPI	Purpose	Calculation of KPI
3. Yard dwell time, exports	Assess AAT's compliance with the Open Access Conditions by measuring the average time export cargo units stay at the designated cargo pickup area of the Terminal waiting to be loaded onto a vessel, once the cargo is ready be loaded. AAT determines cut-off times.	Average time cargo units stay at the designated cargo pickup area of the Terminal measured from actual time of delivery to announced cut-off time. The announced cut-off time is based on the latest practical time it is possible for a truck to safely enter the designated cargo drop off area in the Terminal before the commencement of vessel load operations, assuming all export documentation and clearances are complete.
4. Allocation of first point of rest area	Assess AAT's compliance with the Open Access Conditions by measuring location of first point of rest for cargo. AAT determines the first point of rest for cargo.	Data showing for each cargo shipment: (a) berth allocated to vessel by Fremantle Ports; and (b) allocated storage area in the Terminal Layout Plan for the cargo's first point of rest.
5. Equipment availability	Assess AAT's compliance with the Open Access Conditions by measuring the availability of requested AAT equipment allocated to stevedore or shipping line at the Terminal.	Deviation between AAT equipment requested by stevedore or shipping line and actual machinery provided (including standard of equipment, type and capacity) to stevedore or shipping line. Note: KPI applies to equipment at the Terminal which is owned or controlled by AAT and offered for use to stevedores or shipping lines.
6. Mechanical support	Assess AAT's compliance with the Open Access Conditions by measuring the quality and reliability of mechanical support for AAT equipment at the Terminal.	Average lost time in excess of 1 hour due to failure of AAT in providing mechanical breakdown support. Reported from time Mechanical Engineer officially notified to issue resolved (in total hours). Note: Excludes any faults or break-down caused or contributed to by the relevant Terminal User.

KPI	Purpose	Calculation of KPI
7. Cargo dwell time over free time/ long term storage	Assess AAT's compliance with the Open Access Conditions by measuring the time cargo units stay over free time, excluding Customs, DAFF and customer hold. Subject to the below definition of customer hold, AAT has influence over the circumstances in which cargo stays over free time at the Terminal. Customer hold is storage beyond free time which is requested by the customer, arising from an arm's length commercial agreement between the customer and AAT.	(a) Total cargo units (b) Number of cargo units which stay over free time. (c) Number of cargo units which stay over free time due to Customs, DAFF or customer hold (d) Number of cargo units which stay over free time (excluding Customs, DAFF or customer hold) as a percentage of total cargo units: [(b)-(c)] divided by (a)
8. Confidentiality and Ring Fencing	Measure AAT's compliance with clause 6 of the Undertaking, regarding confidentiality and ring fencing. AAT must maintain 100% compliance with clause 6.	• Number of and type of complaints received concerning non-compliance with clause 6 • Number of instances of breaches of clause 6. • AAT's response to the reported complaints and breaches.
9. Complaints	Report on the number and type of complaints raised, in order to facilitate the ACCC's review of the terms of this Undertaking in determining whether the Undertaking is meeting its objectives set out in clause 2 for the term of this Undertaking. AAT must minimise complaints.	• Number and type of complaints raised under the Price Dispute Resolution Process and Non-Price Dispute Resolution Process. • Outcomes of the complaints raised.

Schedule 3 – Proposed Independent Auditor Notice

This form sets out the information required by the ACCC in relation to proposed appointment of the independent auditor.

Please note in relation to information given on in relation to this notice, giving false or misleading information is a serious offence.

Method of delivery to the ACCC

The completed Proposed Independent Auditor Notice, along with the additional requested information is to be provided to the ACCC with the subject line "*Proposed Independent Auditor Notice – AAT s87B Undertaking*" to the below email addresses:

Email address: mergers@accc.gov.au
Attention: Executive General Manager
 Merger and Authorisation Review Division

With a copy sent to:

Email address mergersucu@accc.gov.au
Attention: Director, Undertakings Compliance Unit
 Coordination and Strategy Branch
 Merger and Authorisation Review Division

Information Required

The ACCC requires the following information in order to assess a proposed independent auditor.

1. Proposed independent auditor details
 - (a) the name of the proposed independent auditor; and
 - (b) the name of the proposed independent auditor's employer and contact details including:
 - (i) Address;
 - (ii) Contact name;
 - (iii) Telephone number;
 - (iv) Other contact details.
2. A submission containing the following information:
 - (a) details of the proposed independent auditor's qualifications and experience relevant to his or her proposed role pursuant to the Undertaking.
 - (b) the names of the [owner/s and the directors (*delete any that do not apply*)] of proposed independent auditor's employer.
 - (c) details of any of the following types of relationships between AAT and its Shareholder Related Entities and the proposed independent auditor or the

proposed independent auditor's employer or confirmation that no such relationship exists whether within Australia or outside of Australia:

- (i) AAT or a Shareholder Related Entity and the proposed independent auditor's employer are Associated Entities.
- (ii) AAT or a Shareholder Related Entity is an Entity Connected with the proposed independent auditor's employer.
- (iii) the proposed independent auditor's employer is an Entity Connected with AAT or a Shareholder Related Entity.
- (iv) AAT or a Shareholder Related Entity and the proposed independent auditor's employer are Related Entities.
- (v) AAT or a Shareholder Related Entity and the proposed independent auditor's employer are Related Parties
- (vi) any Related Party, Related Entity or Entity Connected with AAT or a Shareholder Related Entity is a Related Party, Related Entity or Entity Connected with the proposed independent auditor.
- (vii) AAT or a Shareholder Related Entity and the proposed independent auditor or the proposed independent auditor's employer have a contractual relationship or had one within the past three years, other than those attached to this form.
- (viii) the proposed independent auditor's employer is a supplier of AAT or a Shareholder Related Entity or has been in the past three years.
- (ix) AAT or a Shareholder Related Entity is a supplier of the proposed independent auditor's employer or has been in the past three years.
- (x) any other relationship between AAT or a Shareholder Related Entity and the proposed independent auditor or the proposed independent auditor's employer that allows one to affect the business decisions of the other.

3. A document outlining the terms of appointment for the proposed independent auditor.

Specific Information required for Undertaking Appointments

The ACCC requires the finalised draft audit plan, drafted by the proposed independent auditor and outlining (to the extent possible) the proposed independent auditor's detailed work plan describing how it intends to monitor AAT's compliance with the Undertaking and how it will prepare the plans in regard to the establishment audit and the Audit Report.

Schedule 4 – Price Dispute Resolution Process

PRICE DISPUTE RESOLUTION PROCESS

Australian Amalgamated Terminals Pty Ltd ACN 098 458 229 (AAT) operates the Automotive and RoRo Terminal at Victoria Quay, Fremantle (Terminal).

This Price Dispute Resolution Process is intended to resolve disputes relating to the prices charged by AAT for the supply of Access Services. Non-price disputes are not governed by these processes.

AAT has committed to the ACCC (through a Section 87B Undertaking) and Fremantle Ports to comply with the Open Access Conditions in the performance of its obligations under this Price Dispute Resolution Process.

1 OBJECTIVE

- (a) AAT publishes Charges for the Terminal on its website.
- (b) AAT will use this Price Dispute Resolution Process to notify price increases and resolve disputes relating to the prices AAT charges or will charge for Access Services.
- (c) The Section 87B Undertaking outlines how AAT will deal with Confidential Information provided by Terminal Users.

2 ANNUAL PRICE REVIEW

2.1 REVIEW OF REFERENCE TARIFFS

AAT will conduct an annual review of its Charges and may propose a price increase which it considers reasonable and appropriate, taking into account the relevant considerations in clause 3.4, and provided that AAT complies with its obligations under the Terminal Licence in respect of that price increase (to the extent that those obligations are not inconsistent with the terms of the Section 87B Undertaking).

2.2 NOTICE OF PRICE INCREASE

At least 60 Business Days before the end of each Financial Year, AAT will provide notice of the proposed Charges applicable for the next Financial Year by:

- (a) giving written notice to any person who has entered into an Access Licence Agreement, and to any person who has informed AAT in writing that it wishes to be notified of the proposed price increase;
- (b) publishing the proposed Charges and information about this Price Dispute Resolution Process (including that a Price Dispute can be raised up until 45 Business Days before the end of the Financial Year) on its website; and
- (c) giving written notice to the Independent Price Expert.

2.3 INFORMATION ABOUT PRICE INCREASE

A notice provided under clause 2.2(a) must contain:

- (a) the amount of the proposed Charges;

- (b) the date on which the proposed Charges will take effect;
- (c) detailed reasons for any proposed price increase;
- (d) information about this Price Dispute Resolution Process (including that a Price Dispute can be raised up until 45 Business Days before the end of the Financial Year); and
- (e) the name and contact details of the Independent Price Expert.

2.4 OFFER TO NEGOTIATE

AAT may, but is not obliged to, offer to negotiate with any Dispute Applicant who provides or proposes to provide an Objection Notice in relation to a proposed price increase notified under clause 2.2.

2.5 APPROVED PRICE INCREASES

A Price Dispute cannot be raised under clause 3.1 in respect of a proposed price increase or a part of a proposed price increase of which notice has been given in accordance with clause 2.2 which notice discloses that the price increase:

- (a) has been approved or determined by the Independent Price Expert pursuant to clause 3.3; or
- (b) has been approved by Fremantle Ports and will take effect no later than 1 year after the Commencement Date of the Section 87B Undertaking.

3 PRICE DISPUTE

3.1 RAISING A PRICE DISPUTE

- (a) A Dispute Applicant who objects to a proposed price increase may raise a Price Dispute by providing written notice to the Independent Price Expert and AAT no later than 45 Business Days before the end of the Financial Year (Objection Notice).
- (b) An Objection Notice must set out the Dispute Applicant's reasons for objecting to the proposed price increase.
- (c) By submitting an Objection Notice, the Dispute Applicant agrees to comply with this Price Dispute Resolution Process.

- (d) A Dispute Applicant may at any time withdraw an Objection Notice by written notice to AAT and the Independent Price Expert, in which case the powers and authority of the Independent Price Expert to make a determination of that Objection Notice under clause 3.3 shall forthwith cease.

3.2 PUBLICATION OF OBJECTION NOTICE

AAT will publish a copy of the Objection Notice on its website within 5 days of receipt.

3.3 INDEPENDENT PRICE EXPERT DETERMINATION

- (a) Where the Independent Price Expert has received an Objection Notice, the Independent Price Expert:
 - (i) will determine whether AAT's proposed price increase:
 - (A) is reasonable and appropriate having regard to the principles listed in clause 3.4; and
 - (B) complies with AAT's obligations under the Terminal Licence (to the extent that those obligations are not inconsistent with the terms of the Section 87B Undertaking); and
 - (ii) may accept, reject or vary AAT's proposed price increase.
- (b) Any variation of a price increase by the Independent Price Expert under clause 3.3(a)(i) will not result in a Charge that is:
 - (i) higher than the Charges proposed by AAT under clause 2.2; or
 - (ii) less than the then current Charges.
- (c) The Independent Price Expert will make his or her determination within:
 - (i) the 60 Business Day period referred to in clause 2.2; or
 - (ii) such further period, not being more than 20 Business Days, as the Independent Price Expert in his or her sole discretion requires.
- (d) AAT and the Dispute Applicant must provide the Independent Price Expert with any information he or she requires to make a determination under this clause 3.3, within a timeframe reasonably determined by the Independent Price Expert.
- (e) In the event that more than one Objection Notice is received in relation a proposed

price increase, the Independent Price Expert will only make a single determination about those Charges or that proposed price increase.

- (f) The Independent Price Expert's decision is final and binding.
- (g) When making a determination under this clause 3.3, the Independent Price Expert is acting as an expert and not as an arbitrator.

3.4 RELEVANT CONSIDERATIONS

In determining whether a Charge is reasonable and appropriate, the Independent Price Expert will have regard to the following principles:

- (a) that Charges should:
 - (i) be set so as to generate expected revenue for Access Services that is at least sufficient to meet the efficient costs of providing the Access Services; and
 - (ii) include a reasonable rate of return on the amount of funds invested commensurate with the commercial risks involved;
- (b) that Charges should be set taking into account:
 - (i) Terminal lease costs and all efficient input costs;
 - (ii) an appropriate allocation of AAT's relevant overhead costs;
 - (iii) expected volumes over the period AAT has used to calculate the proposed price increase, including where appropriate any split between committed / uncommitted volume and associated risks;
 - (iv) depreciation of, and a return on, the prudent level of capital invested by AAT at the Terminal, where:
 - (A) depreciation is based on a straight line methodology (or reasonable alternative methodology) and reasonably anticipated asset lives; and
 - (B) the rate of return is based on AAT's weighted average cost of capital;
 - (v) the interests of all users for which the proposed Charges relates;
 - (vi) the reasonableness and appropriateness of, and justification for, the existing Charges for the supply of the Access Services;

- (vii) any additional pricing principles and conditions imposed by Fremantle Ports in the Terminal Licence, to the extent that those pricing principles and conditions are not inconsistent with the terms of the Section 87B Undertaking and in particular this clauses 3.4(a) and 3.4(b)(i)-(vi).
 - (c) The structure of Charges may allow multi-part pricing and price discrimination only if, and to the extent that:
 - (i) the cost of providing the service is higher, or
 - (ii) it aids efficiency; and
 any multi-part pricing or price discrimination should be transparent.
- 3.5 NOTICE AND PUBLICATION OF DECISION**
- (a) The Independent Price Expert must notify:
 - (i) AAT; and
 - (ii) any party that lodged an Objection Notice in relation to the proposed price increase,
 of his or her determination under clause 3.3(a)(ii) as soon as practicable after making the determination.
 - (b) Within 2 Business Days of receiving the determination, AAT must:
 - (i) publish the Independent Price Expert's determination on AAT's website; and
 - (ii) provide a copy of the Independent Price Expert's determination to the Approved Independent Auditor.
 - (c) The cost of the expert determination will be shared equally between AAT and the Dispute Applicant, unless the Independent Expert determines or the parties agree otherwise.
 - (d) AAT and the Dispute Applicant will execute a deed to indemnify the Independent Price Expert against any loss or damage incurred by the Independent Price Expert in the course of carrying out his or her functions in accordance with his or her terms of appointment.

4 DATE PRICE INCREASE TAKES EFFECT

- (a) In the absence of any Objection Notice submitted under clause 3.1, the new price takes effect the date that AAT notified under clause 2.2(a) that the

proposed price increase would take effect.

- (b) If the Independent Price Expert makes a determination under clause 3.3(a)(ii), then the new price as determined by the Independent Expert takes effect on the date that AAT notified under clause 2.2(a) that the proposed price increase would take effect.

5 DEFINITIONS

In this Price Dispute Resolution Process, the following meanings will apply (unless the context otherwise indicates):

Access Licence Agreement means an agreement between AAT and a Licensee under which the Licensee is supplied the Access Services by AAT.

Access Services means:

- (a) the use of facilities and infrastructure owned, operated or controlled; or
- (b) services and anything else provided,

by AAT at the Terminal which in each case AAT makes available to allow a Licensee to provide all or part of the Terminal Services and which, at a minimum, includes those services AAT makes available to stevedores and PDI operators.

Approved Independent Auditor has the meaning given in the Section 87B Undertaking.

Berths means berths H and E/F located at Victoria Quay in the inner harbour at the Port of Fremantle.

Business Day means a day on which trading banks are open for the transition of general banking business in Perth, other than a Saturday, Sunday or public holiday generally observed in Perth.

Charges means the fees or charges payable by a Licensee to AAT for the Access Services which must (at a minimum) be separated into discrete fees and charges payable for each category of Access Services (or any material part thereof).

Confidential Information has the meaning given in the Section 87B Undertaking.

Dispute Applicant means a person with a genuine direct or indirect economic interest in the terms and conditions of use of the Terminal and includes shipping lines, importers and exporters.

Financial Year means a financial year ending 30 June.

Fremantle Ports means the Fremantle Port Authority ABN 78 187 229 472.

Independent Price Expert has the meaning given in the Section 87B Undertaking.

Licensee means any stevedore, PDI Operator or any other user granted the right to provide part of

the Terminal Services from time to time under an Access Licence Agreement with AAT.

Material Shareholder means a shareholder of AAT with a greater than 10% shareholding.

Mooring Services means the mooring and unmooring of vessels at the Berths.

Objection Notice has the meaning given in clause 3.1(a).

Open Access Conditions means the conditions set out in Schedule 1 of the Section 87B Undertaking.

PDI Operator Services means the undertaking of pre-delivery inspection activities at the Terminal.

Price Dispute means a dispute raised by a Dispute Applicant about the proposed increase to a Charge which relates to that Dispute Applicant.

Related Body Corporate has the meaning given to that term in the *Corporations Act 2001* (Cth).

Section 87B Undertaking means the undertaking given by AAT to the Australian Competition and Consumer Commission as in force from time to time for the purposes of section 87B of the *Competition and Consumer Act 2010* (Cth) concerning AAT's operation of the Terminal.

Shareholder Related Entity means any Shareholder of AAT and any Related Bodies Corporate of AAT or such a Shareholder.

Shareholder means each of P&O Wharf Management Pty Limited ACN 100 737 264 and Plzen Pty Limited ACN 065 905 571 and any Material Shareholder that is, or has a Related Body Corporate that is, a Terminal User.

Stevedoring Services means the loading and unloading of vessels at the Berths and transfer of cargo to the Terminal.

Terminal Licence means the deed between Fremantle Ports and AAT under which Fremantle Ports grants AAT the right to develop, operate and provide services at the Terminal.

Terminal Services means:

- (a) PDI Operator Services, Stevedoring Services and Mooring Services; and
- (b) any other services of a kind offered by AAT to its Shareholder Related Entities or third parties, including stevedores, PDI operators, shipping lines, importers and exporters, through its own use of the Terminal.

Terminal User means

- (a) any stevedore, PDI operator, Mooring Service provider or shipping line using the Terminal; or
- (b) any other person who has applied for, whether successful or not, the right to provide services at the Terminal from time to time under an Access Licence Agreement with AAT.

Schedule 5 – Non-Price Dispute Resolution Process

NON-PRICE DISPUTE RESOLUTION PROCESS

Australian Amalgamated Terminals Pty Ltd ACN 098 458 229 (AAT) operates the Automotive and RoRo Terminal at Victoria Quay, Fremantle (Terminal).

This Non-Price Dispute Resolution Process is intended to resolve disputes relating to matters other than the prices charged by AAT for the supply of Access Services. Price disputes are not governed by these processes.

Non-Price Disputes include disputes in relation to the granting, refusal to grant, conditions or administration of an Access Licence Agreement, other than in relation to any Charges. Non-Price Disputes may include disputes in relation to the Open Access Conditions or AAT's obligations in relation to Confidential Information.

AAT has committed to the ACCC (through a Section 87B Undertaking) and Fremantle Ports to comply with the Open Access Conditions in the performance of its obligations under this Non-Price Dispute Resolution Process.

1 OBJECTIVE

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| <p>(a) AAT is committed to resolving all Non-Price Disputes proactively and constructively.</p> <p>(b) AAT will use this Non-Price Dispute Resolution Process to resolve disputes relating to matters other than the prices AAT charges or will charge for Access Services.</p> <p>(c) The Section 87B Undertaking outlines how AAT will deal with Confidential Information provided by Terminal Users.</p> | <p>a view to resolving the Non-Price Dispute expeditiously by joint discussion.</p> <p>(b) If the Non-Price Dispute is not resolved in accordance with clause 3(a) within 21 Business Days of the Dispute Applicant providing a Non-Price Dispute Notice to AAT then:</p> <p>(i) if both parties agree, subject to clause 3(c), they will attempt to resolve the Non-Price Dispute by mediation pursuant to clause 4; or</p> <p>(ii) if one or both of the parties do not wish to resolve the Non-Price Dispute by mediation, either party may within 7 days refer the Non-Price Dispute to Expert Determination or Arbitration in accordance with clause 4.4.</p> |
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2 RAISING A NON-PRICE DISPUTE

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|---|---|
| <p>(a) A Dispute Applicant who wishes to raise a Non-Price Dispute with AAT must do so within 6 months after the circumstance giving rise to that Non-Price Dispute by providing written notice to AAT (Non-Price Dispute Notice) for the purpose of endeavouring to resolve the Non-Price Dispute.</p> <p>(b) The Non-Price Dispute Notice must include details of:</p> <p>(i) the nature of the Non-Price Dispute;</p> <p>(ii) the outcome sought by the Dispute Applicant in relation to the Non-Price Dispute; and</p> <p>(iii) the action on the part of AAT which the Dispute Applicant believes will resolve the Non-Price Dispute.</p> <p>(c) By lodging a Non-Price Dispute Notice, the Dispute Applicant agrees to comply with this Non-Price Dispute Resolution Process.</p> | <p>(c) If the parties agree to attempt to resolve the Non-Price Dispute by mediation in accordance with clause 3(b)(i), the Non-Price Dispute will be referred to the chief executive officers of each party, or their representative, who will attempt to resolve the Non-Price Dispute, including by informal mediation.</p> <p>(d) If the Non-Price Dispute is not resolved within 15 Business Days after being referred to the chief executive officers or their representatives in accordance with clause 3(c), the Non-Price Dispute will be referred to formal mediation pursuant to clause 4.</p> |
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3 NEGOTIATION

- (a) Within 7 Business Days of the Dispute Applicant providing AAT a Non-Price Dispute Notice, senior representatives of each party must meet and undertake genuine and good faith negotiations with

4 FORMAL MEDIATION

4.1 APPOINTMENT OF MEDIATOR

- (a) A Non-Price Dispute referred to formal mediation in accordance with clauses 3(b)(i) and 3(d) will be mediated by a single mediator appointed by agreement between AAT and the Dispute Applicant.
- (b) The mediator appointed by AAT and the Dispute Applicant must have the qualifications and experience necessary

- to carry out the functions of the mediator independently of AAT and must not be:
- (i) an employee or officer of AAT or its Shareholder Related Entities, whether current or in the past 3 years;
 - (ii) a professional adviser of AAT or its Shareholder Related Entities, whether current or in the past 3 years;
 - (iii) a person who has a contractual relationship with AAT or its Shareholder Related Entities (other than the terms of appointment of the mediator);
 - (iv) a Terminal User, supplier or material customer of AAT or its Shareholder Related Entities; or
 - (v) an employee or contractor of a firm or company referred to in paragraphs (iii) and (iv) above.
- (c) If AAT and the Dispute Applicant fail to agree on the appointment of a mediator within 14 Business Days of referral under clause 3(b)(i), the President of the Chapter of the Institute of Arbitrators and Mediators of Australia (IAMA) in the state of Western Australia will select the mediator.
- (d) AAT and the Dispute Applicant will use all reasonable endeavours to ensure that:
- (i) the mediation occurs within 28 Business Days after a mediator has been appointed; and
 - (ii) the mediator is provided with all relevant information available to AAT and the Dispute Applicant and all reasonable assistance to enable the mediator to conduct the mediation.
- 4.2 INDEMNIFICATION OF THE MEDIATOR**
- AAT and the Dispute Applicant will execute a deed to indemnify the mediator against any loss or damage incurred by the mediator in the course of carrying out his or her functions in accordance with his or her terms of appointment.
- 4.3 CONDUCT OF MEDIATION**
- Unless otherwise agreed between AAT and the Dispute Applicant:
- (a) each of AAT and the Dispute Applicant may be represented at the mediation by another party, including by a legally qualified person;
 - (b) the cost of the mediation will be shared equally between AAT and the Dispute Applicant;
- (c) AAT and the Dispute Applicant will bear their own costs relating to the preparation for and attendance at the mediation; and
- (d) the mediation will otherwise be conducted under the IAMA Mediation Rules (whether or not the mediator is a legal practitioner).
- 4.4 REFERRAL TO EXPERT DETERMINATION OR ARBITRATION**
- (a) A party may, by notice to the other (**Final Dispute Notice**) refer a Non-Price Dispute which remains unresolved to:
- (i) an expert for determination in accordance with clause 5; or
 - (ii) an arbitrator for arbitration in accordance with clause 6,
- within 7 Business Days after:
- (iii) the conclusion of the 21 Business Day negotiation period for the Non-Price Dispute under clause 3(b), where the parties have not agreed to attempt to resolve the dispute through mediation; or
 - (iv) the conclusion of formal mediation of the Non-Price Dispute in accordance with clause 4.
- (b) Within 7 Business Days of the issue of a Final Dispute Notice, AAT and the Terminal User will agree on:
- (i) which of expert determination or arbitration will be conducted to resolve the Non-Price Dispute; and
 - (ii) the identity of the expert or arbitrator to be appointed to conduct the expert determination or arbitration.
- (c) In the event that AAT and the Terminal User cannot agree on either:
- (i) which of expert determination or arbitration will be conducted to resolve the Non-Price Dispute; or
 - (ii) the identity of the person to conduct the expert determination or arbitration as the case may be,
- then the President of IAMA in the state of Western Australia will determine those matters.
- (d) The expert or arbitrator appointed by AAT and the Dispute Applicant must have the qualifications and experience necessary to carry out the functions of the expert or arbitrator as applicable independently of AAT and must not be:

- (i) an employee or officer of AAT or its Shareholder Related Entities, whether current or in the past 3 years;
- (ii) a professional adviser of AAT or its Shareholder Related Entities, whether current or in the past 3 years;
- (iii) a person who has a contractual relationship with AAT or its Shareholder Related Entities (other than the terms of appointment of the expert or arbitrator);
- (iv) a Terminal User, supplier or material customer of AAT or its Shareholder Related Entities; or
- (v) an employee or contractor of a firm or company referred to in paragraphs (iii) and (iv) above.

5 EXPERT DETERMINATION

If the Non-Price Dispute is referred to an expert for expert determination pursuant to clause 4.4(a), the following provisions will apply:

- (a) AAT and the Dispute Applicant will use all reasonable endeavours to ensure that the expert provides the expert's determination on the Non-Price Dispute within 60 Business Days of referral under clause 4.4(a).
- (b) The expert will decide the Non-Price Dispute as an expert not an arbitrator and the expert's decision will be final and binding on both AAT and the Dispute Applicant. AAT must take all steps within its power to ensure that the expert's decision is fulfilled or otherwise given effect to, including by enforcing AAT's contractual rights against third parties.
- (c) The cost of the expert determination will be shared equally between AAT and the Dispute Applicant, unless agreed otherwise.
- (d) AAT and the Dispute Applicant will use all reasonable endeavours to ensure that the expert is provided with:
 - (i) all relevant information available to AAT and the Dispute Applicant; and
 - (ii) all reasonable assistance, in a timely manner, to enable the expert to make a determination in relation to the Non-Price Dispute within 60 Business Days of referral under clause 4.4(a).
- (e) AAT and the Dispute Applicant will execute a deed to indemnify the expert against any loss or damage incurred by

the expert in the course of carrying out his or her functions in accordance with his or her terms of appointment.

- (f) AAT must send a copy of any determination made by the expert to Fremantle Ports and the Approved Independent Auditor within 7 days of the determination being made.

6 ARBITRATION

- (a) If the Non-Price Dispute is referred to an arbitrator pursuant to clause 4.4(a), AAT and the Dispute Applicant may agree on the terms on which the arbitration will be conducted.
- (b) AAT must take all steps within its power to ensure that any determination by the arbitrator is fulfilled or otherwise given effect to, including by enforcing AAT's contractual rights against third parties.
- (c) If, within 14 Business Days of the arbitrator being appointed, AAT and the Dispute Applicant are unable to reach agreement on the terms on which the arbitration will be conducted, the arbitration will be conducted in accordance with the IAMA Arbitration Rules, as modified by the following provisions:
 - (i) The arbitrator will not be required to proceed with the arbitration unless and until the Dispute Applicant has agreed to pay the arbitrator's and other costs as determined in accordance with clause 6(j) and provide any indemnity as required in accordance with clause 6(k).
 - (ii) Unless AAT and the Dispute Applicant agree otherwise, the arbitration will be conducted in private.
 - (iii) AAT and the Dispute Applicant may appoint a person, including a legally qualified person, to represent it or assist in the arbitration.
 - (iv) The arbitrator must observe the rules of natural justice, but is not bound by technicalities, legal forms or rules of evidence.
 - (v) The arbitrator must act as speedily as a proper consideration of the Non-Price Dispute allows, having regard to the need to carefully and quickly enquire into and investigate the Non-Price Dispute and all matters affecting the merits, and

- fair settlement, of the Non-Price Dispute.
- (vi) The arbitrator may determine the periods that are reasonably necessary for the fair and adequate presentation of the respective cases of AAT and the Dispute Applicant in the Non-Price Dispute, and may require that the cases be presented within those periods.
 - (vii) The arbitrator may require evidence or argument to be presented in writing, and may decide the matters on which it will hear oral evidence or argument.
 - (viii) The arbitrator will present its determination in draft form to AAT and the Dispute Applicant and allow them the opportunity to comment before making a final determination.
 - (ix) The arbitrator will hand down a final determination in writing which includes its reasons for making the determination and findings on material questions of law and fact, including references to evidence on which the findings of fact were based.
 - (x) Subject to clause 6(l) and unless AAT and the Dispute Applicant agree otherwise, any determination by the arbitrator will be confidential.
- (d) The arbitrator may at any time terminate an arbitration (without making a determination save for any determination under clause 6(j)) and the subject matter of the Dispute Notice shall be regarded as resolved, if he or she thinks that:
- (i) the notification of the Non-Price Dispute is vexatious;
 - (ii) the subject matter of the Non-Price Dispute is trivial, misconceived or lacking in substance; or
 - (iii) the Dispute Applicant has not engaged in negotiations in good faith.
- (e) In deciding a Non-Price Dispute, the arbitrator will have regard to the objectives of the Section 87B Undertaking and may have regard to any other matters that he or she thinks are relevant.
- (f) In deciding a Non-Price Dispute, the arbitrator must not:
- (i) without the consent of AAT and the Dispute Applicant, make a determination which relates to matters which were not specified in the Non-Price Dispute Notice; or
 - (ii) without the consent of AAT and the Dispute Applicant, allow any other party to join or intervene in the arbitration.
- (g) The arbitrator may make any determination or direction in relation to the Non-Price Dispute that it considers appropriate. A determination or direction of the arbitrator will be final and binding, subject to any rights of review by a court of law, and will have effect on and from the date specified by the arbitrator. Any or all of the provisions of a final determination may be expressed to apply from a specified day which is earlier than the day on which it takes effect.
- (h) Other than in circumstances where the determination or direction is the subject of review by a court of law, if a Dispute Applicant does not comply with a determination or direction of the arbitrator, AAT will not be obliged to continue to seek to resolve the matters subject of the Non-Price Dispute Notice.
- (i) Other than where the determination or direction is the subject of review by a court of law, AAT will comply with the lawful determination or direction of the arbitrator.
- (j) The arbitrator's costs and the costs of the parties to the arbitration will be borne by AAT and the Dispute Applicant in such proportions as the arbitrator determines. AAT and the Dispute Applicant may make submissions to the arbitrator on the issue of costs at any time prior to the arbitrator's costs determination.
- (k) Where the arbitrator requires it, AAT and the Dispute Applicant will indemnify the arbitrator from any claims made against the arbitrator arising in connection with the performance by the arbitrator of its duties under this clause 6, such indemnity excluding circumstances where the conduct of the arbitrator constitutes negligence (whether wilful or otherwise), dishonest or unlawful conduct.
- (l) Any laws relating to arbitrations applying in the jurisdiction in which any arbitration undertaken in accordance with this clause 6 is conducted will apply to the arbitration.
- (m) AAT must send a copy of any determination made by the arbitrator to Fremantle Ports and the Approved

Independent Auditor within 7 days of the determination being made.

7 GENERAL

Save the for the obligations of disclosure to Fremantle Ports and the Approved Independent Auditor provided for in this Non-Price Dispute Resolution Process, the Non-Price Dispute and any terms of resolution are to be kept strictly confidential by AAT and the Dispute Applicant.

8 DEFINITIONS

In this Non-Price Dispute Resolution Process, the following meanings will apply (unless the context otherwise indicates):

Access Licence Agreement means an agreement between AAT and a Licensee under which the Licensee is supplied the Access Services by AAT.

Access Services means:

- (a) the use of facilities and infrastructure owned, operated or controlled; or
- (b) services and anything else provided,

by AAT at the Terminal which in each case AAT makes available to allow a Licensee to provide all or part of the Terminal Services and which, at a minimum, includes those services AAT makes available to stevedores and PDI operators.

Approved Independent Auditor has the meaning given in the Section 87B Undertaking.

Berths means berths H and E/F located at Victoria Quay in the inner harbour at the Port of Fremantle.

Business Day means a day on which trading banks are open for the transaction of general banking business in Perth, other than a Saturday, Sunday or public holiday generally observed in Perth.

Charges means the fees or charges payable by a Licensee to AAT for the Access Services which must (at a minimum) be separated into discrete fees and charges payable for each category of Access Services (or any material part thereof).

Confidential Information has the meaning given in the Section 87B Undertaking.

Dispute Applicant means a person with a genuine direct or indirect economic interest in the terms and conditions of use of the Terminal and includes shipping lines, importers and exporters.

Final Dispute Notice has the meaning given in clause 4.4(a).

Fremantle Ports means the Fremantle Port Authority ABN 78 187 229 472.

IAMA means Institute of Arbitrators and Mediators of Australia in Western Australia.

Licensee means any stevedore, PDI Operator or any other user granted the right to provide part of the Terminal Services from time to time under an Access Licence Agreement with AAT.

Material Shareholder means a shareholder of AAT with a greater than 10% shareholding.

Mooring Services means the mooring and unmooring of vessels at the Berths.

Non-Price Dispute means a dispute raised by a Dispute Applicant in relation to the granting, refusal to grant, conditions or administration of an Access Licence Agreement by AAT, other than in relation to the amount of any Charges.

Non-Price Dispute Notice has the meaning given in clause 2(a).

Open Access Conditions means the conditions set out in Schedule 1 of the Section 87B Undertaking.

PDI Operator Services means the undertaking of pre- delivery inspection activities at the Terminal.

Related Body Corporate has the meaning given to that term in the *Corporations Act 2001* (Cth).

Section 87B Undertaking means the undertaking by AAT to the Australian Competition and Consumer Commission as in force from time to time for the purposes of section 87B of the *Competition and Consumer Act 2010* (Cth) concerning AAT's operation of the Terminal.

Shareholder means each of P&O Wharf Management Pty Limited ACN 100 737 264 and Plzen Pty Limited ACN 065 905 571 and any Material Shareholder that is, or has a Related Body Corporate that is, a Terminal User.

Shareholder Related Entity means any Shareholder of AAT and any Related Bodies Corporate of AAT or such a Shareholder.

Stevedoring Services means the loading and unloading of vessels at the Berths and transfer of cargo to the Terminal.

Terminal Services means:

- (a) PDI Operator Services, Stevedoring Services and Mooring Services; and
- (b) any other services of a kind offered by AAT to its Shareholder Related Entities or third parties, including shipping lines, importers and exporters, through its own use of the Terminal.

Terminal User means:

- (a) any stevedore, PDI operator, Mooring Service provider or shipping line using the Terminal; or
- (b) any other person who has applied for, whether successful or not, the right to provide services at the Terminal from time to time under an Access Licence Agreement with AAT.